

ECON 0100 | Vignette B2 | Supply

Due in Recitation.

Q1 | Consumer Surplus

Members of the wizarding world have preferences for pumpkin pasties according to the following demand curve:

$$P_d = 12 - \frac{1}{2}Q_d \quad (1)$$

Prices are in galleons and quantity is in pasties.

- a) Plot and find the consumer surplus at a price of 10 galleons. _____
- b) Plot and find the consumer surplus at a price of 5 galleons. _____
- c) How much did consumer surplus change from (a) to (b)? _____

Q2 | Quantity Supplied

Pumpkin pasties are produced by many sellers according to the following supply curve:

$$P = 2 + \frac{1}{2}Q_s \quad (2)$$

Plot the supply curve below.

- a) Find and plot the quantity supplied at a price of 10 galleons. _____
- b) Find and plot the quantity supplied at a price of 5 galleons. _____
- c) How much did quantity supplied change from (a) to (b)? _____
- d) What is marginal cost at 8 pasties? _____

Q3 | Producer Surplus

Plot and calculate the producer surplus at both 5 galleons and 10 galleons.

- a) PS at 5 galleons: _____
- b) PS at 10 galleons: _____
- c) How much did producer surplus change from (a) to (b)? _____